

THE BUSINESS MATURITY MODEL

Stage 4

Focus

You're past survival. Now the business is pulling you ten directions at once, and working harder isn't fixing it.

5 TO 9 PEOPLE · \$1M TO \$3M REVENUE

You are here.

Every business climbs the same ten stages, set by how many people you've got and how much you make. You're at **Focus**. Here's what that means, across your whole business.

0	Foundation	Just you · Pre-revenue
1	Validation	Just you · Under \$100K
2	Traction	You + vendors · \$100K-\$500K
3	Structure	2-4 people · \$500K-\$1M
4	Focus YOU ARE HERE	5-9 people · \$1M-\$3M
5	Expansion	10-19 people · \$3M-\$10M
6	Efficiency	20-49 people · \$10M-\$30M
7	Systems	50-99 people · \$30M-\$75M
8	Division	100-249 people · \$75M-\$150M
9	Reinvention	250-500 people · \$150M+

Stage 4: Focus

WHO

5 to 9 people. You manage the work now instead of doing all of it.

THE CONSTRAINT

You're trying to be everything to everyone. That's why you feel scattered.

GRADUATE BY

Niching down. More of your best-fit customers, fewer of everyone else.

THE BIG PICTURE

The early stages were about survival. Make the first sale, get steady customers, hire your first people. You did it. Now you've got a small team and money coming in, and a new problem shows up. You took every kind of customer and every kind of job to get here, and now the business pulls you in ten directions at once. You're busy every single day and it still feels like you're spinning.

The longer you wait, the more the business gets built around the mess. You add systems to handle work you never should have taken, and hire people who only know their corner of it. Focus only gets harder from here, which is why this is the stage to take seriously now.

Working harder won't fix this stage. The businesses that break through get specific about who they serve and what they sell, and they let the rest go. Here's what that looks like across every part of your business.

The stage comes down to one decision: who you're for, and what you'll stop doing. The next pages run that decision across all three engines of your business.

Across your business.

Every business runs on three engines, and eight parts inside them. At Focus, one part is breaking each engine right now. Those three are marked Start here. Get them right and the rest follows.

SALES & MARKETING

Marketing

START HERE

You're drowning in leads that aren't a fit. Plenty of inquiries come in, but they don't turn into much money.

Sales

Deals slip and you can't see why. Nobody's tracking the funnel. *the funnel · The Sales Acceleration Formula*

OPERATIONS

Product & service

START HERE

You said yes to everyone to get here, so you deliver ten slightly different things and none of them is the best at anything. *The Hedgehog Concept · Good to Great*

Customer service

You can't see who's happy and who's about to walk.

Technology

The team's on scattered tools, personal logins, and notes in five places.

FINANCE & ADMIN

Finance

START HERE

Cash is lumpy. Some months are flush, some are tight, and one big bill can knock you sideways, because nobody's looking more than a few weeks out. *Gross profit per labor dollar · Simple Numbers*

Hiring

You hire the best interview, then wonder where that person went. *the A-Method · Who*

Your people

Nobody wrote the rules down, so everyone runs their own. *create clarity · The Advantage focus on contribution · The Essential Drucker*

Start here.

The one part breaking each engine. Get these right and the rest of the stage gets easier. Each names the tell, what to do, and the book behind it.

Marketing SALES & MARKETING

A hundred leads come in and you'd take any of them.

THE CONSTRAINT

You're drowning in leads that aren't a fit. Plenty of inquiries come in, but they don't turn into much money.

DO THIS

Make your marketing more specific. Pick the one customer you just decided to build for and write to their problem in their words, so the wrong-fit leads rule themselves out before they ever call. Ten right-fit leads you can close beat a hundred tire-kickers who eat your week.

Product & service OPERATIONS

You quote a \$500 job and a \$50,000 job the same way.

THE CONSTRAINT

You said yes to everyone to get here, so you deliver ten slightly different things and none of them is the best at anything.

DO THIS

Pull your customer list and find the 20% who pay the most and complain the least. Build your best version of the business for them, and stop bending the offer for everyone else. That's the Hedgehog. Be the best at one thing instead of decent at ten.

SOURCE The Hedgehog Concept · *Good to Great*, Jim Collins

Finance FINANCE & ADMIN

One slow-paying customer changes your whole month.

THE CONSTRAINT

Cash is lumpy. Some months are flush, some are tight, and one big bill can knock you sideways, because nobody's looking more than a few weeks out.

BENCHMARK

Healthy here is 10 to 15% pretax profit, with two months of operating expenses sitting in cash.

DO THIS

Stand up a P&L and a cash flow forecast so you can see the money coming and going weeks ahead. The number that runs this stage is gross profit per labor dollar, what each dollar of payroll earns back. At five to nine people, payroll is your biggest cost and your biggest lever. I built the 15 Profit and Cash Flow Drivers Worksheet for businesses at this stage. Run your numbers in it and you'll see in an afternoon which drivers are working against you.

SOURCE Gross profit per labor dollar · *Simple Numbers*, Greg Crabtree

The rest of your business.

Not the three to start with, but they're in play at this stage. Here's the move on each, for when you're ready.

SALES & MARKETING

Sales

Deals slip and you can't see why. Nobody's tracking the funnel.

DO THIS

Put your numbers on one weekly sheet, by person: leads, demos, closes, cash. Read down the funnel to where you fall off. The two that decide this stage are speed-to-lead and show rate.

SOURCE the funnel · *The Sales Acceleration Formula*, Mark Roberge

OPERATIONS

Customer service

You can't see who's happy and who's about to walk.

DO THIS

Get a basic CRM and track who you keep, who you lose, who refers. The customer who slips away quietly costs you more than the one who complains, because you never got the chance to save them.

Technology

The team's on scattered tools, personal logins, and notes in five places.

DO THIS

Get everyone on the same platforms. One place to talk, one to track work, a password manager so nothing lives in one person's head. Nothing fancy, just shared.

FINANCE & ADMIN

Hiring

You hire the best interview, then wonder where that person went.

DO THIS

Hire to a scorecard. Write the outcomes the role must produce before you meet anyone, interview against it, and call their references. That's the A-Method. A bad hire at five people hurts more than at fifty.

SOURCE the A-Method · *Who*, Geoff Smart

Your people

Nobody wrote the rules down, so everyone runs their own.

DO THIS

Write the basics down: time off, conduct, how things work here. Then get each person clear on what they're there to contribute. Lencioni calls the first part creating clarity; Drucker the second, focusing on contribution.

SOURCE create clarity · *The Advantage*, Patrick Lencioni

SOURCE focus on contribution · *The Essential Drucker*, Peter Drucker

Where you stand.

ON TRACK

- You can name your best 20% of customers
- Your marketing speaks to one kind of person
- You track your sales numbers, even by hand
- You've got a P&L and a rough cash forecast
- Your team knows the rules

STILL NEED WORK

- You still take every customer who'll pay
- You couldn't show last month's profit on one page
- One big bill still scares you
- You're the only one who knows how anything works
- Every decision still runs through you

Graduating to Stage 5. You'll know you're ready when you've niched down and it's working: better-fit customers, steadier cash, a team that runs without you in every call. The next stage is about giving those good customers something else to buy.

Want the finance side built around your numbers?

Start with the 15 Profit and Cash Flow Drivers Worksheet. It shows the numbers that decide whether this stage makes money, and it's yours to keep. Book a call and we run them on your business, so you can see the tight months before they hit and plan around them.

BUILT ON

This stage draws on **Good to Great** (Jim Collins), **The Sales Acceleration Formula** (Mark Roberge), **Who** (Geoff Smart), **The Advantage** (Patrick Lencioni), **The Essential Drucker** (Peter Drucker), and **Simple Numbers** (Greg Crabtree). The moves are ours. The thinking stands on theirs.